



ALLIANCE FOR COLLECTIVE EMPOWERMENT AND DEVELOPMENT

COMPANION LEGAL BRIEF NO. 1

THE BLACK AMERICAN TAX EQUITY INITIATIVE

BATEI

Pre-Argument Defense Brief

Prepared for deployment within 48 hours of any legal or legislative challenge

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For Our People, By Our People

EXECUTIVE SUMMARY

The Black American Tax Equity Initiative (BATEI) demands that Congress extend to all Black Americans the same federal tax exemption it has already extended to Native American tribal members. This protection belongs to every Black American by virtue of their citizenship and their identity, not by virtue of their location, their enrollment in any registry, or their participation in any ACE program. The exemption follows the person, not the location.

This is not a new demand. It is the minimum application of a principle the United States government has already accepted. Congress has recognized, in statute and in practice, that a government which destroys a people's economic foundation bears an obligation to acknowledge that destruction in law. It applied this principle to Native Americans through the tribal tax exemption. It applied it to Japanese Americans through the Civil Liberties Act of 1988. The international community has applied it to Jewish survivors through the Luxembourg Agreement.

Black Americans were enslaved on this soil by law. Their labor built this economy without compensation. Their wealth was extracted by legal design across every generation since emancipation. BATEI asks for the one thing Congress has already agreed is appropriate for another people who suffered comparable harm at the hands of the same government: the right to build their own economy without paying the first fruits of that building back to the government whose actions created the deficit.

Black Americans are discriminated against on sight. The mechanism of that discrimination is the visibility of Blackness itself. A Black American cannot opt out of the harm BATEI corrects by moving to a different zip code, joining a different institution, or leaving ACE territory. The harm follows the person. The remedy must follow the person too.

This brief pre-argues the three strongest challenges ACE anticipates and demonstrates that each fails on its own terms.

I. THE LEGAL FOUNDATION OF THE EXISTING TRIBAL TAX EXEMPTION

A. The Statutory Framework

The federal income tax exemption for Native Americans derives from treaty obligations and federal statutes, most directly from the principle established in *Squire v. Capoeman*, 351 U.S. 1 (1956), that income derived from trust land allotted under federal treaty is exempt from federal taxation. This exemption reflects the federal government's recognition that taxing the first fruits of land returned to tribal nations under treaty would render the treaty meaningless.

The Internal Revenue Code extends these protections through multiple provisions. Section 7871 treats tribal governments as states for purposes of certain tax provisions. Section 139E exempts certain tribal benefits from gross income. The Indian Tribal Government Tax Status Act of 1982 established further parity between tribal governments and state and local governments for tax purposes.

Critically, the tribal tax exemption is not geographically bounded. Native Americans carry this exemption as a matter of citizenship in their nation, whether they live on or off their reservation. The exemption follows the person, not the location. BATEI demands equal application of that same principle: the exemption follows the Black American person, not the location, and applies wherever they reside and conduct business.

The Supreme Court in *Oklahoma Tax Commission v. Citizen Band Potawatomi Indian Tribe*, 498 U.S. 505 (1991), reaffirmed that tribal sovereignty includes the authority to conduct government affairs free from taxation that would burden that sovereignty. The principle is clear: where taxation would impede the exercise of sovereign self-governance and economic rebuilding by a people the government has wronged, the federal government has accepted an obligation to exempt.

B. The Moral and Remedial Logic

The tribal tax exemption is not welfare. It is remediation. The United States government destroyed the economic foundation of tribal nations through a century of treaty violations, forced removal, land seizure, and the deliberate dismantling of tribal economic institutions. The tax exemption is the minimum recognition that rebuilding cannot be taxed as though the destruction never occurred.

BATEI applies this identical logic to Black Americans. The United States government destroyed the economic foundation of Black Americans through two centuries of chattel slavery, followed by a century of legal apartheid, redlining, convict leasing, the deliberate destruction of prosperous Black communities including the 1921 Tulsa Race Massacre and the Greenwood District, and the systematic denial of the wealth-building opportunities extended to every other demographic group in America.

The moral structure of the claim is indistinguishable. The legal precedent is already established. BATEI asks for equal application of a principle the government has already accepted.

II. THE THREE ANTICIPATED CHALLENGES AND ACE'S RESPONSES

Challenge 1: The Equal Protection Argument Against Race-Based Tax Relief

The most anticipated challenge to BATEI is that a tax exemption available to Black Americans constitutes a racial classification subject to strict scrutiny under the Equal Protection Clause of the Fourteenth Amendment, and that it fails that scrutiny because it is not narrowly tailored to serve a compelling governmental interest.

ACE's response operates on three levels.

First, BATEI is grounded in the political and civic status of Black Americans as citizens of the United States whose government bears a documented remedial obligation to them, not in race as a biological category. *Morton v. Mancari*, 417 U.S. 535 (1974), established that federal classifications based on tribal membership are political rather than racial classifications, subject to rational basis review rather than strict scrutiny, precisely because they reflect the government's remedial relationship with a specific community. BATEI invokes the same framework: the class is defined by citizenship in a nation whose government created the conditions BATEI corrects. The classification is political. It is remedial. It is not racial in the constitutional sense that triggers strict scrutiny.

Second, even if strict scrutiny applied, the Supreme Court has recognized that remedying the present effects of past government-sponsored discrimination constitutes a compelling governmental interest sufficient to satisfy it. *Fullilove v. Klutznick*, 448 U.S. 448 (1980). The documented record of federal government action against Black economic institutions is the most

extensive and thoroughly documented record of government-sponsored discrimination in American history. BATEI is narrowly tailored to remedy precisely and only this harm.

Third, BATEI does not create a preference. It creates parity. The Equal Protection Clause demands equal treatment. The federal government has already accepted the principle that a people it has wronged deserves remedial tax recognition. Extending that same recognition to Black Americans is not a racial preference. It is the constitutional mandate of equal treatment applied consistently.

Challenge 2: The Non-Delegation and Congressional Authority Argument

A second anticipated challenge is that BATEI attempts to expand the tribal tax exemption in ways that exceed the proper scope of congressional authority or constitute an improper delegation of taxing power.

This challenge mischaracterizes both what BATEI asks and how it proposes to achieve it.

BATEI's legislative track asks Congress to enact a statute. Congress has plenary authority over federal taxation. The Indian Tribal Government Tax Status Act of 1982, the Civil Liberties Act of 1988, and every other piece of remedial tax legislation in American history represents an exercise of exactly this authority. There is no non-delegation problem with Congress deciding to extend a tax exemption.

BATEI's administrative track petitions the IRS to issue guidance recognizing that Black Americans already qualify for equivalent protection under existing law, grounded in the same remedial principles that underlie the tribal exemption. This is a request for IRS guidance, not IRS lawmaking. The IRS issues such guidance routinely.

BATEI's litigation track pursues Equal Protection and Fifth Amendment arguments in federal court. ACE does not ask a court to create a new exemption. ACE asks a court to recognize that the federal government's refusal to apply to Black Americans a principle it has already accepted for comparable harm is a constitutional violation.

Challenge 3: The Scope and Administrability Argument

A third anticipated challenge is that BATEI is too broad to administer because the class of eligible recipients is imprecisely defined, and that defining it by race creates the very constitutional problem identified in Challenge 1.

ACE's response is direct: BATEI uses self-identification plus U.S. citizenship as its eligibility standard. This is not a novel administrative framework. It is the same standard the federal government already uses across multiple programs.

The U.S. Census Bureau defines race by self-identification. The Small Business Administration uses self-identification for minority business certification. The Equal Employment Opportunity Commission uses self-identification for workforce reporting. No federal body adjudicates the biological validity of a person's racial identity. Self-identification is the established federal standard, and it is the correct standard for BATEI.

The citizenship anchor is what distinguishes Black Americans from Black foreign nationals without creating a registry or a blood quantum system. A Black American is a person who self-identifies as Black and holds U.S. citizenship or lawful permanent residency. This mirrors the Native American framework precisely: tribal members carry the exemption as citizens of their nation. Black Americans carry BATEI protection as citizens of the United States whose government created the conditions BATEI remedies.

ACE explicitly rejects any registry, enrollment system, or certification requirement for BATEI eligibility. The history of such systems, from blood quantum requirements that have shrunk recognized Native populations across generations, to the Freedmen citizenship disputes that have denied rights to Black descendants of tribal nations, demonstrates that eligibility registries for historically wronged communities become instruments of exclusion. ACE will not import that mechanism.

The final and most fundamental answer to the administrability challenge is this: Black Americans cannot opt out of the harm BATEI corrects. Discrimination against Black Americans operates on sight. The visibility of Blackness is the mechanism of four hundred years of documented harm. A Black American cannot move to a different address, join a different institution, or leave ACE territory and become immune to that harm. The exemption must follow the same logic as the harm: it follows the person, wherever they are, because the harm follows the person, wherever they are. Any administrability framework that restricts BATEI to a subset of Black Americans replicates the exclusionary logic it was designed to correct.

III. THE POLITICAL ARGUMENT TO CONGRESS

The following argument is prepared for delivery to Congress in any legislative proceeding considering BATEI. It is designed to be read into the record.

You have accepted, in statute and in precedent, that a government which destroys a people's economic foundation bears an obligation to recognize that destruction in law. You have done this for Native Americans through the tribal tax exemption. You have done this for Japanese Americans through the Civil Liberties Act of 1988. The international community from which the United States seeks moral authority has done this for Jewish survivors through the Luxembourg Agreement.

Black Americans were enslaved on this soil by law. Their labor built this economy without compensation. Their wealth was extracted by legal design across every generation since emancipation. They have asked for reparations. Congress has refused. They have asked for enforcement of existing civil rights law. Enforcement has been incomplete and inconsistent.

Black Americans are discriminated against on sight. The color of their skin has been the instrument of four hundred years of documented, government-sanctioned harm. They cannot opt out of that harm by moving to a different city, joining a different institution, or leaving any particular territory. The harm follows them. Every Black American carries it. Every Black American is therefore entitled to the remedy, not only those who live in a particular place or belong to a particular program.

They are now asking for the one thing you have already agreed is appropriate for another people who suffered comparable harm at the hands of the same government: the right to build their own economy without you taxing the first fruits of that building. Native Americans carry this exemption wherever they live, on or off reservation, because their nation was wronged. Black Americans must carry it wherever they live, because their nation wronged them too.

This is not a radical demand. It is the minimum application of a principle you have already accepted, applied with the consistency the Constitution requires. ACE asks that you apply it equally. Four hundred years of wrongs will not be righted by a tax exemption. But this is the least this country can do. And it is long overdue.

IV. THE THREE PURSUIT TRACKS

BATEI is pursued simultaneously through three parallel tracks, each independent of the others so that setback in one does not delay progress in the others.

Track 1: Legislative Advocacy

ACE advocates directly for federal legislation establishing BATEI through the ACE Congressional Caucus, ACE's independent political accountability network of elected officials at the federal, state, and local level who have received ACE endorsement. The bill is introduced as a standalone measure and as an amendment vehicle to tribal economic development legislation, tax reform packages, and appropriations bills.

ACE does not channel its legislative agenda through existing political caucuses or civil rights institutions whose institutional entrenchment has historically compromised their ability to act in the unqualified interest of Black and Native communities. The ACE Congressional Caucus is accountable to ACE communities, not to party leadership.

Track 2: Administrative Action

ACE petitions the Internal Revenue Service and the Department of the Treasury to issue guidance recognizing that Black Americans qualify for equivalent remedial tax protection under existing law, grounded in the same principles that underlie the tribal exemption and administered through the same self-identification standard the federal government already uses across its programs.

The administrative track can succeed without congressional action, which is why it is pursued simultaneously with and independently of the legislative track.

Track 3: Constitutional Litigation

ACE retains constitutional law counsel to pursue Equal Protection and Fifth Amendment takings arguments in federal court. The Equal Protection argument is that the federal government's denial of equivalent tax recognition to Black Americans, despite having extended it to tribal nations for equivalent historical harms, constitutes an actionable legal inequity. The Fifth Amendment argument is that the systematic extraction of Black American wealth through government action without compensation constitutes a taking for which equivalent tax relief is the appropriate remedy.

ACE maintains this brief in updated form on permanent retainer with its legal counsel, ready for deployment within 48 hours of any legal challenge to BATEI or to the broader ACE framework.

V. KEY PRECEDENTS AND AUTHORITIES

The following cases and statutes form the core legal foundation of BATEI's defense:

- *Squire v. Capoeman*, 351 U.S. 1 (1956): Income from allotted trust land is exempt from federal income tax. Establishes the principle that taxing the product of remedially returned resources defeats the purpose of the remedy.
- *Morton v. Mancari*, 417 U.S. 535 (1974): Federal classifications based on tribal membership are political, not racial, and subject to rational basis review. The foundational case for framing BATEI as a political and remedial classification rather than a racial one.
- *Oklahoma Tax Commission v. Citizen Band Potawatomi Indian Tribe*, 498 U.S. 505 (1991): Tribal sovereignty includes freedom from taxation that burdens the exercise of self-governance. Supports BATEI's argument that taxing Black American economic rebuilding burdens the remedial purpose the exemption is designed to serve.
- *Fullilove v. Klutznick*, 448 U.S. 448 (1980): Remedying present effects of past government-sponsored discrimination is a compelling governmental interest sufficient to satisfy strict scrutiny. Even if BATEI were subject to strict scrutiny, this precedent supports its constitutionality.
- Indian Tribal Government Tax Status Act of 1982, Pub. L. 97-473: Treats tribal governments as states for certain tax purposes. Establishes the legislative framework and congressional willingness to use the tax code as a remedial instrument.
- Civil Liberties Act of 1988, Pub. L. 100-383: Congressional recognition that the federal government owes a remedial obligation to a people it has wronged. Directly analogous to BATEI's demand and the clearest modern precedent for congressional remedial action through legislation.
- 26 U.S.C. Section 139E: Federal income tax exemption for Indian general welfare benefits. One of multiple statutory exemptions demonstrating that the tax code is an accepted instrument of remedial policy for historically wronged communities.
- SBA Minority Business Enterprise self-identification standard: Establishes self-identification as a legally sufficient and administratively workable basis for eligibility determinations involving race, directly supporting BATEI's rejection of a registry or enrollment requirement.

VI. DEPLOYMENT PROTOCOL

This brief is maintained in current form at all times. It is updated annually by ACE legal counsel to reflect developments in relevant case law, changes in IRS guidance, and the status of BATEI's three pursuit tracks.

Upon receipt of any legal challenge to BATEI or to ACE's broader framework, this brief is deployed within 48 hours through the following protocol:

- ACE Legal Defense Fund retains lead constitutional counsel within 24 hours of challenge notification.
- This brief is filed as a supporting memorandum of law in any responsive pleading within 48 hours.
- ACE Policy Institute issues a public statement grounding BATEI's legal basis in language accessible to community members and media within 48 hours.
- ACE Congressional Caucus members are briefed and prepared to make statements in the congressional record within 72 hours.
- ACE Media Network publishes a community-facing explanation of the challenge and ACE's response within 48 hours.

THE BLACK AMERICAN TAX EQUITY INITIATIVE: NOT A GIFT.
THE MINIMUM APPLICATION OF A PRINCIPLE CONGRESS HAS ALREADY
ACCEPTED.
THE EXEMPTION FOLLOWS THE PERSON. NOT THE LOCATION.

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